

Cross-Asset Stress Diagnostic — June 5, 2026

A quantitative companion to the full notebook. [Synthesis](#) · [methodology](#) · [key results](#).

Data source: Yahoo Finance · 21 instruments · 400-day rolling window · Analysis date: 2026-06-05

VERDICT

3 / 6 stress signals firing — ORANGE regime, not red. The deleveraging signature is partially present (flight-to-quality broken, tech corrected -12.4% , both metals down). But the apparent correlation jump is, per the Forbes-Rigobon adjustment, *largely a volatility artifact*, not a structural regime change. Three diagnostics that *did* fire: gold-equity decoupling broken ($+0.77$ vs $+0.27$ baseline), tech 30d DD -12.4% , metals both $-3\%+$ on 7d. Three close to firing but not yet through historical P90 thresholds: stress index, VIX level, PCA absorption ratio.

1. Why this question, why now

On Friday June 5, 2026, equities, precious metals, oil and crypto sold off in unison. The move was flagged the same day by **Thami Kabbaj** in his YouTube analysis "*Vendredi noir : tout s'effondre en Bourse?*". Kabbaj — *agrégé d'économie*, ex-Eurex trader, FSA Derivatives / Series 7 certified, graduate of the Society of Technical Analysts (London), founder of TKL Trading School Dubai, 450,000+ YouTube subscribers — is one of the most-watched French-language financial educators, and his technical-analysis training makes the call worth taking seriously rather than dismissing as a generic doom clip. The pattern he flagged *looks like* a deleveraging cascade, but our intuitions about "everything correlated" are notoriously unreliable during volatility spikes — hence this notebook.

Layered on top: **Michael Burry** (Scion Asset Management) has been publicly bearish since end-2025. The Q3 2025 13F-HR disclosed $\sim \$912\text{M}$ notional Palantir puts and $\sim \$187\text{M}$ Nvidia puts. By mid-2026 the shorts were extended to **ORCL**, **SMH** (semiconductor ETF), **QQQ**, with January 2027 expiries. Shiller PE crossed 40 in May, above the dot-com peak.

The narrow, tractable question we address: **does June 5 fit the empirical signature of a systemic deleveraging event, or a more idiosyncratic move?**

2. Method — six independent diagnostics

Daily Yahoo Finance closes (auto-adjusted for splits/dividends), 21 instruments, 400-day rolling window. Universe: equity indices (NDX, SPX, DJI), mega-cap tech (MSFT, AAPL, META, NFLX, NVDA, AVGO), Burry-disclosed shorts (PLTR, NVDA, ORCL, SMH, QQQ), metals (XAU, XAG), energy (WTI, BRENT), crypto (BTC), bonds (TLT), volatility (VIX), dollar (DXY).

#	Diagnostic	What it measures	Reference
1	Avg pairwise correlation index	Rolling 7d / 30d average of off-diagonal Pearson correlations + bootstrap 95% CIs	Standard

2	PCA absorption ratio	Share of cross-sectional variance explained by first principal component	Kritzman et al. 2010
3	Cross-sectional dispersion	Daily std of returns across universe (low = lockstep)	Pukthuanthong-Roll 2009
4	Forbes-Rigobon adjusted correlation	Corrects vanilla Pearson for volatility-inflation bias	Forbes-Rigobon 2002
5	Gold-equity rolling correlation	Flight-to-quality regime indicator	Standard
6	VIX level + 7-day velocity	Price of equity insurance	Standard

Methodological choices that matter: Pairwise correlations use the maximum overlap available per pair (no global dropna that would bias the panel). Cross-asset measures restricted to U.S. trading days (avoids BTC-weekend bias). i.i.d. bootstrap for CIs (acknowledged limitation under regime shifts). Futures rolls in WTI/BRENT/XAU/XAG introduce small discontinuities (acceptable for short-window stress signals).

3. What the data says

3.1 Trigger-day distribution (worst-first)

Asset	1-day %	7-day %	30-day %
AVGO	-19.5	-13.7	-9.3
SMH (semis ETF)	-10.7	-4.9	+3.6
ORCL	-7.2	-5.4	+10.1
NDX / QQQ	-5.3	-4.5	+1.3
META	-4.8	-6.3	-3.2
PLTR	-4.7	-13.4	+1.3
NVDA	-4.4	-2.8	-1.2
BTC	-3.5	-15.8	-24.1
MSFT	-2.5	-7.5	+0.9
SPX	-2.3	-2.6	+0.3
XAU (gold)	-1.9	-4.5	-7.0
XAG (silver)	-7.5	-10.1	-11.5
VIX	+33.9	+40.4	+23.7
DXY (dollar)	+0.5	+1.2	+2.1

3.2 The Forbes-Rigobon caveat — *the single most important finding*

Vanilla Pearson correlation inflates mechanically when one of the underlying volatilities rises. Forbes & Rigobon (2002) provide a correction.

Window	Metric	Value
180d calm baseline	Avg pairwise corr (Pearson)	+0.134
7d recent	Avg pairwise corr (raw Pearson)	+0.180
7d recent	Avg pairwise corr (Forbes-Rigobon adj.)	+0.143

The adjusted figure (+0.143) is essentially identical to the calm baseline (+0.134). **The apparent correlation jump is overwhelmingly a volatility artifact, not a structural shift.** An eyeballed heatmap during a vol spike would have produced a misleading "everything correlated now" impression.

3.3 Where there *is* a genuine signal — gold-equity decoupling

Window	corr(XAU, SPX)
180-day baseline	+0.265
30-day	+0.771
7-day	+0.765

A 30-day reading of +0.77 between gold and the S&P 500 is *not* compatible with the "gold as hedge" regime. It is the textbook signature of margin-call cascades: leveraged funds liquidating every position, gold included, to meet calls.

3.4 Composite scorecard

#	Diagnostic	Threshold	Reading	Status
1	Avg pairwise corr 7d > P90(30d hist)	> +0.314	+0.300	No
2	corr(XAU, SPX) 7d > +0.5	> +0.5	+0.765	YES
3	Avg tech max-DD from 30d peak	< -10%	-12.4%	YES
4	VIX > 30 or 7d return > +50%	breach	21.5 / +36.7%	No
5	Both metals 7d < -3%	both	XAU -3.2%, XAG -10.1%	YES
6	PCAR(k=1) 60d > P90 hist	> 0.449	0.426	No

Score: 3 / 6 — ORANGE regime. Three diagnostics firing simultaneously. Three close to firing but not yet through historical 90th-percentile thresholds.

4. Burry positions — stock-side P&L since 13F snapshot

13F filings disclose *notional* puts, not realized P&L (puts have time decay and IV exposure). The stock-side return is only the directional component.

Ticker	Entry (Sep 30, 2025)	Latest (Jun 5, 2026)	Stock return	Inference
PLTR	182.42	135.53	-25.7%	profitable
ORCL	279.04	213.68	-23.4%	profitable
NVDA	186.34	205.10	+10.1%	underwater
QQQ	598.84	705.06	+17.7%	underwater
SMH	325.35	569.69	+75.1%	underwater (but -10.7% June 5 alone)

Two of five positions clearly in the money on the stock side. SMH (the headline semiconductor short) was up +75% from the snapshot, but lost 10.7% on the trigger day alone — the convexity of puts means a continuation would close the gap rapidly.

5. What this notebook is *not*

- **Not a forecast.** The configuration of contemporaneous signals does not, on its own, imply an inevitable cascade. Policy response and positioning data — deliberately not included — would be needed for that inference.
- **Not a Burry endorsement.** Burry himself notes (May 10, 2026 Substack) that he has been wrong on prior crash calls. We track the configuration, we do not bet on the timing.
- **Not a P&L estimate of Burry's positions.** Stock-side returns omit time decay and IV; actual options P&L can differ materially.

6. The takeaway

Three diagnostics fire (flight-to-quality broken, tech corrected -12.4%, both metals down together). Three close to firing but not yet through historical 90th-percentile thresholds. The Forbes-Rigobon adjustment is the methodological discipline that prevents over-reading the raw correlation picture during a vol spike.

The right posture is to treat the *combination* of (i) Shiller PE > 40, (ii) extended large-tech leverage, (iii) a confirmed gold-equity decorrelation breakdown as a **higher base-rate environment for tail risk** — not a forecast of an imminent crash.

References

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<https://www.youtube.com/watch?v=JqFg1Oup11k>

Full notebook (HTML, PDF), raw data and intermediate calculations released alongside this synthesis.

This note is for informational purposes only and is not investment advice. All data are end-of-day from Yahoo Finance.